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Case Number: 24STCV02758 Hearing Date: September 17, 2026 Dept: 509

Omar Gamez Alvarez v. Priorityworkforce, Inc., et al.

(1) MOTION FOR DETERMINATION OF GOOD FAITH SETTLEMENT

(2) MOTION TO STRIKE

MOVING PARTY: (1) Hultafor Group North America, Inc. and Hultafor Group US Holdco, LLC; (2) Priorityworkforce, Inc.

RESPONDING PARTY(S): (1) Priorityworkforce, Inc. and (2) Hultafor Group North America, Inc. and Hultafor Group US Holdco, LLC

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff Omar Gamez Alvarez (Plaintiff) worked for Defendants Priorityworkforce, Inc., Hultafor Group North America, Inc., and Hultafor Group US Holdco LLC, as a warehouse worker. Plaintiff alleges he suffered a foot contusion at work when a stack of pallets fell on his foot. When Plaintiff returned the next day under medical restrictions, defendants allegedly fired him. Plaintiff asserts causes of action for: (1) disability discrimination, (2) failure to provide reasonable accommodations, (3) failure to engage in good faith interactive process, (4) retaliation, and (5) wrongful termination.

Hultafor Group North America, Inc., and Hultafor Group US Holdco LLC, (collectively, Hultafor) now move for determination that a settlement between them and Plaintiff was entered into in good faith. Priorityworkforce, Inc. (Priority) opposed.

As a part of the opposition, Priority also moves to strike portions of Hultafor Reply. Hultafor opposed.

On May 27, 2026, this matter originally came to hearing. The motions were continued to allow Priority to conduct additional discovery, including Plaintiff's deposition, and counsel for both parties to file supplemental briefings. (5/27/26 Minute Order.) Both parties filed supplemental briefings.

On August 5, 2026, the matter came to hearing. The parties indicated that a settlement was reached between Plaintiff and Priority. In light of the settlement of the entire action, the Court continued the hearing to allow both Hultafor and Priority to brief whether the instant motion was moot.

On September 4, 2026, Priority filed a new supplemental brief arguing that the motion is not moot and determination of the instant motion is necessary. Hultafors did not file a brief in reply.

Considering all the filings and the recent hearings, the Court rules as follows.

TENTATIVE RULING:

Hultafors' Motion for Determination of Good Faith Settlement is GRANTED.

Priority's Motion to Strike is MOOT.

Hultafors is ordered to give notice, unless waived.

DISCUSSION:

Hultafors' Motion for Determination of Good Faith Settlement

A. Objections to Evidence

Priority submits objections to evidence.

This Court is unaware of any legal authority which requires a court to rule on evidentiary objections on a motion, except as to a motion for summary motion/adjudication (Code Civ. Pro. § 437c, subd. (q)) or a special motion to strike (Code Civ. Pro. § 425.16, subd. (b)(2)); see also, *Sweetwater Union High School Dist. v. Gilbane Building Co.* (2019) 6 Cal.5th 931, 947-949.)

As such, this Court respectfully declines to rule on these objections. This Court is well aware of the rules of evidence, and to how much weight, if any, should be given to any of the proposed evidence.

B. Legal Standard

In an action in which it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt, a party to that action may file a motion seeking a determination from the court that the settlement between the plaintiff or other claimant and one or more alleged tortfeasors or co-obligors was made in good faith. (Code Civ. Pro. § 877.6, subd. (a).) The notice of motion or application for good faith determination must list each party and pleading or portion of pleading affected by the settlement and the date on which the affected pleading was filed. (CRC Rule 3.1382.)

The California Supreme Court in *Tech-Bilt, Inc. v. Woodward-Clyde & Assoc.* (1985) 38 Cal.3d 488, established the standard for determining whether a settlement was made in good faith. Under *Tech-Bilt*, the following factors are considered: (1) a rough approximation of plaintiff's total recovery and the settlor's proportionate liability; (2) the amount paid in settlement; (3) the allocation of settlement proceeds among plaintiffs; (4) a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial; (5) the financial conditions and insurance policy limits of settling defendants; and (6) the existence of collusion, fraud, or tortious conduct aimed to injure the interests of the non-settling defendants. (*Id.* at 498-501.) Additionally, the evaluation must be made based on the information available at the time of settlement. (*Id.* at 599.)

Where good faith is contested, the burden begins with the settlor to demonstrate the settlement. (City of Grand Terrace, 192 Cal. App. 3d 1251, 1261.) "Once there is a showing made by the settlor of the settlement, the burden of proof on the issue of good faith shifts to the non-settlor who asserts that the settlement was not made in good faith." (Id. at 1262; Code Civ. Pro. § 877.6, subd. (d).) The nonsettlor should demonstrate "that the settlement is so far 'out of the ballpark' in relation to the [Tech-Bilt] factors as to be inconsistent" with a settlement made in good faith. (Id. at 500.) Where good faith is not contested, a "barebones motion which sets forth the ground of good faith, accompanied by a declaration which sets forth a brief background of the case is sufficient." (City of Grand Terrace, 192 Cal. App. 3d 1251, 1261.) A court must weigh the Tech-Bilt factors only when good faith is contested. (Ibid.)

If the court makes a faith determination, the court may bar all cross-complaints for equitable indemnity and/or contribution if the settling party has made such a request at the time of the motion. (Code Civ. Pro. §§ 877, 877.6, subd. (c); CRC 3.1382.)

C. Mootness

This case appears settled in full. From the representations of the parties, Hultafors and Priority have reached independent settlements with the Plaintiffs. The action appears to be concluded, pending formalities.

However, Priority argues "[n]otably, at the time of the August 5 hearing, it was still possible that a global settlement including all parties could be reached. Such a global settlement, by definition, would resolve or extinguish any indemnity issues between Priority and Hultafors, therefore rendering the Motions moot. However, no such global settlement has been reached. Accordingly, the Motions are not moot." (9/4/26 Supp. Brief at p. 2: 15-19.) It appears that Priority is arguing that the issue of indemnity remains while this motion is outstanding. A resolution of this issue is the purpose of this instant motion. (Code Civ. Pro., § 877.6, subd. (c) ["A determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault."])

In any case, "[a]ccording to the plain language of the statute, any party to an action in which it is alleged that two or more parties are joint tortfeasors 'shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff ... and one or more alleged tortfeasors' provided only that the settlement is entered before judgment is rendered." (Andruss v. Superior Court (1996) 46 Cal.App.4th 1276, 1278 (Andruss), [Where the trial court granted summary judgment (thereby resolving the case in favor of both defendants) and took the Section 877.6 motion off calendar as moot, appellate court vacated the order and ordered trial court to schedule a hearing.]) Indeed, in Andruss, the moving party was "entitled to have that motion heard because the statute gives them that right and because their ability to recover the [settlement amount] that [plaintiff] promised to pay them turns on whether, at the time the settlement was made, it was made in good faith." (Id. at p. 1279.) Here, the settlement reached between Hultafors and Plaintiff has an express term stating, "The Company's obligation to issue the Gross Settlement Amount is contingent on the Court granting the Company's Motion for Good Faith Settlement Determination." (Treadwell Decl., Ex. 2 at §1(b).) It appears like Andruss, the Hultafors' settlement relies, in part, on this instant motion. Hultafors' motion is entitled to a hearing.

Given Priority's request for a determination on the merits and Hultafors' right to have the motion heard, the Court concludes this instant motion is not moot and considers the motion on the merits.

D. Analysis

Hultafors moves for a determination of good faith settlement.

This action arises from Plaintiff's employment action in which he alleges he was wrongfully terminated as a result of an injury suffered at the workplace.

Where good faith is contested, the burden begins with the settlor to demonstrate the settlement. (City of Grand Terrace, 192 Cal.App.3d 1251, 1261.) “Once there is a showing made by the settlor of the settlement, the burden of proof on the issue of good faith shifts to the non-settlor who asserts that the settlement was not made in good faith.” (Id. at p. 1262; Code Civ. Pro. § 877.6, subd. (d).) The non-settlor should demonstrate “that the settlement is so far ‘out of the ballpark’ in relation to the [Tech-Bilt] factors as to be inconsistent” with a settlement made in good faith. (Id. at p. 500.)

Here, Hultafor demonstrates that they have entered into a settlement with Plaintiff to resolve all present and future claims between the parties for \$50,000. Thus, the moving party has met its initial burden to demonstrate the settlement. This shifts the burden to the opposing non-settling defendant, Priority.

a. Proportion of Liability

First, Priority argues that “according to Plaintiff, as of September 3, 2025, his economic damages amount to no less than \$197,919.60.” (Opp. at p. 5:22-23.) However, “Plaintiff and Hultafor’s purported “good faith” settlement provides Plaintiff only \$50,000, of which only \$1,650 are apportioned to Plaintiff’s economic damages.” (Id. at pp. 5:26-6:1.) It is Priority’s position that “if any liability exists, it rests solely with Hultafor” (Id. at p. 6:4.)

Despite Priority’s claim that they may not be responsible for the termination, this does not render the settlement “out of the ballpark.” Indeed, one of the purposes of settlement is to avoid exposure to even greater potential liability at trial, so lower settlement amounts are often proper. (Tech-Bilt, supra, 38 Cal.3d at p. 499.) Rather, based on the allegations and evidence presented thus far, \$50,000 reflects a fair and reasonable resolution of Plaintiff’s claims. After all, a settling party should pay less in settlement than it would if it were found liable at trial.

b. Evidence of Bad Faith

Next, Priority alleges that Plaintiff and Hultafor engaged in collusion intended to prejudice Priority. (Supp. Opp. at p. 5:3.)

Priority’s evidence of this is that “[f]or more than two years, Plaintiff maintained that he personally overheard Ms. Cardenas accuse him of lying about his injury and claim that his injury was not serious.” (Supp. Opp. at p. 5:4-5.) “However, only after entering into a settlement agreement with Hultafor, the funds of which are contingent upon the approval of the instant Motion, Plaintiff materially changed his narrative.” (Supp. Opp. at p. 5:10-11.) “This is not a minor clarification but a fundamental alteration to a central factual allegation of the case. Instead, Plaintiff’s deposition testimony transformed potential direct evidence of discriminatory animus into double hearsay.” (Supp. Opp. at p. 5:17-19.)

This Court has read and reviewed the entirety of Plaintiff’s deposition attached as Exhibit J to the supplemental opposition. While it does appear that Plaintiff’s June 25, 2026, deposition testimony contradicts prior discovery responses, there is no evidence to suggest that this difference in testimony is in any way connected to the settlement at issue here.

Indeed, to any extent this was a product of collusion, this change in testimony appears to directly hurt Plaintiff’s overall case to the benefit of Priority. As Priority argues, “[t]his is not a minor clarification but a fundamental alteration to a central factual allegation of the case. Instead, Plaintiff’s deposition testimony transformed potential direct evidence of discriminatory animus into double hearsay.” (Supp. Opp. at p. 5:17-19.) Taking this as true, Hultafor should be the only party negatively affected by this change in testimony. Now, after agreeing to a settlement, Plaintiff has testified at deposition in a way that decreased chances of recovery against both defendants. At the very least, Plaintiff’s contradictory testimony hurts Plaintiff’s chance of recovery against Priority. Therefore, this does not evidence a collusion, fraud, or any tortious conduct aimed at injuring the interests of Priority.

c. Conclusion

In the end, the settlement is not "out of the ballpark." Rather, based on the allegations and evidence presented thus far, it reflects a fair and reasonable resolution of Plaintiff's claims. After all, a settling party should pay less in settlement than it would if it were found liable at trial. Finally, there is no evidence in the record to suggest collusion, fraud, or tortious conduct among the settling parties aimed at injuring the interests of Priority. Thus, considering the evidence, Priority has failed to meet its burden to demonstrate a lack of good faith. In other words, lacking here is a showing that \$50,000 is not proportionate to the settling party's liability.

Accordingly, Hultafor's Motion for Determination of Good Faith Settlement is GRANTED.

Motion to Strike

Priority moved to strike the reply and supporting declaration containing new evidence. (Not. of Mot.) However, as discussed in the concurrent motion for good faith settlement, the Court did not address the arguments nor evidence presented in the allegedly improper reply. As such dispute has already been resolved with the concurrent motion for good faith settlement, this instant motion to strike is MOOT.

Hultafor to give notice, unless waived.

IT IS SO ORDERED.

Dated: September 16, 2026 _____

Randolph M. Hammock

Judge of the Superior Court

Any party may submit on the tentative ruling by contacting the courtroom via email at SMCDept509@lacourt.ca.gov by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.